

COVERAGE ANALYSIS

April 29, 2026 | step273_baseline

Perspective: Landlord

This analysis frames coverage gaps and exposure statements against landlord interests.

DOCUMENT OVERVIEW

Single-document coverage analysis -- no reference template

Parties: MERIDIAN COMMERCIAL PROPERTIES LLC (Landlord) / WELLNESS PLUS PHARMACY LLC (Tenant)

Property: 4500 Commerce Boulevard, Fairfield, State of Columbia

Lease Type: Retail / Shopping Center

Term: 5 years (Commencement Date (as specified in Section 4.1) -- 5 years after the Commencement Date)

Renewal: One (1) additional period of five (5) years

Rent: \$19,600.00

Escalation: 3% annually

Security: Three (3) months' Base Rent

CAM/OpEx: Triple net lease; Tenant pays Proportionate Share of CAM Charges

Permitted Use: Retail business for the operation of a licensed pharmacy and the sale of health and wellness products

Key Terms:

- 5-year initial term with one 5-year renewal option.
 - Base rent of \$19,600.00/month with 3% annual compounding escalation.
 - Triple net lease structure where tenant pays proportionate share of CAM charges.
 - Tenant granted exclusive right to operate a pharmacy and health/wellness business in the center.
 - Early termination right after 2nd Lease Year with 180 days' notice and 6 months' rent fee.
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RUN SYNOPSIS

5 require attention, 6 worth reviewing, 7 covered (across 18 issue areas analyzed)

PROVISION CHECKLIST

✗ Needs Attention: LP-07 Common Area Maintenance (CAM), LP-09 Subletting & Assignment, LP-11 Default & Remedies, LP-13 Indemnification & Liability, LP-14 Force Majeure

■ Worth Reviewing: LP-02 Rent Escalation, LP-03 Lease Term & Renewal, LP-08 Insurance Requirements, LP-10 Alterations & Improvements, LP-12 Early Termination, LP-17 Dispute Resolution

✓ **Covered:** LP-01 Rent & Payment Terms, LP-04 Security Deposit, LP-05 Permitted Use, LP-06 Maintenance & Repairs, LP-15 Signage Rights, LP-16 Parking, LP-18 Holdover Provisions

COVERAGE & GAPS

The following provisions were present but incomplete, unfavorable, or missing entirely.

[!] **LP-07 LP-07** — UNFAVORABLE TERMS

Missing: excluded expense categories

Tenant bears uncapped and potentially expanding CAM charges because the share calculation, included cost categories, and annual increases are not capped or tightly defined. Tenant has no ability to audit or challenge the pass-throughs, so billing errors, reclassifications, or cost shifting by Landlord become Tenant's risk and can materially increase occupancy costs.

[!] **LP-09 LP-09** — INCOMPLETE

Missing: recapture right (landlord can terminate and lease directly), assignment in connection with sale of business

Landlord can recapture the space if Tenant seeks to sublet or assign, letting Landlord terminate Tenant's lease and lease directly while Tenant loses the deal and any expected transfer value. Tenant also lacks clear rights to assign in connection with a sale of its business, which can block or delay an exit transaction or force Tenant to keep paying rent after selling.

[!] **LP-11 LP-11** — UNFAVORABLE TERMS

Missing: tenant's right to cure third-party defaults

Tenant can be declared in default quickly and without prior notice, giving Landlord leverage to accelerate remedies (including termination and eviction) before Tenant has a realistic chance to fix payment or operational issues. Tenant bears the cost and disruption of an unusually short non-monetary cure period, increasing the risk of losing the space over minor or administrative breaches.

[!] **LP-13 LP-13** — UNFAVORABLE TERMS

Missing: cap on liability (if any)

Tenant bears broad indemnity exposure while getting only a narrow indemnity back from Landlord (limited to gross negligence or willful misconduct), so routine landlord-side negligence and related third-party claims can still land on Tenant. Landlord is protected far more than Tenant, leaving Tenant to absorb defense costs and losses with limited ability to shift risk back.

[!] **LP-14 LP-14** — UNFAVORABLE TERMS

Missing: partial rent abatement or adjustment for operational impairment

Tenant has limited force majeure relief and no meaningful rent protection unless the space becomes wholly untenable, so Tenant can be stuck paying full rent even when operations are materially impaired (e.g., utility loss, restricted access, or regulatory shutdown). Tenant also bears risk that narrow/unclear event definitions and excused-obligation scope leave key performance duties unexcused while Landlord's obligations are not equally affected.

[~] **LP-02 LP-02** — INCOMPLETE

Missing: escalation cap or ceiling, calculation methodology

No rent escalation cap; landlord retains pricing flexibility but bears the dispute risk that comes with uncapped or formula-driven increases

[~] **LP-03 LP-03** — INCOMPLETE

Missing: rent at renewal (formula or fair market value mechanism)

Renewal mechanism undefined; landlord faces uncertainty over future occupancy and has weakened leverage to reset rent or terms at expiration

[~] **LP-08 LP-08** — INCOMPLETE

Missing: waiver of subrogation

Insurance obligations incompletely defined; landlord lacks reliable recourse against tenant insurers for premises-related losses and has no subrogation waiver to limit cross-claims

[~] **LP-10 LP-10** — INCOMPLETE

Missing: landlord contribution to tenant improvements (if any)

Tenant improvement allowance undefined; landlord faces uncertainty over its capital contribution exposure and the scope of improvements it may inherit at lease end

[~] **LP-12 LP-12** — INCOMPLETE

Missing: unamortized tenant improvement cost recovery, co-tenancy termination trigger (if applicable)

No tenant early termination right; landlord retains full-term revenue certainty but loses the ability to recapture and re-let the space if a better tenant emerges

[~] **LP-17 LP-17** — INCOMPLETE

Missing: time limit for bringing claims

Dispute framework incomplete; attorney fee allocation and claim limitation periods undefined, creating uncertainty in landlord's enforcement leverage and defense costs

RUN DETAILS

Models Used:

Extraction: Gemini 3.1 Pro (Google)

Processing: 6 API calls total, 2.3 minutes

Pipeline: CAM v2.5.3 -- Constrained Assertion Method

Analysis mode: Analyze (coverage & gaps)

This report was generated by CAM (Constrained Assertion Method). Patent Pending. This is a diagnostic tool and does not constitute legal advice.